

Manulife India Equity Fund

Fund category

Feeder Fund (Equity)

Fund objective

The Fund invests in the Manulife Global Fund - India Equity Fund ("Target Fund") and aims to achieve long-term capital growth through equities and equity-related investments of companies covering different sectors of the India economy and which are listed on stock exchange in India or on any stock exchange. The remaining assets of the Target Fund may include bonds, deposits and other investments.

Investor profile

The Fund is suitable for investors who seek an investment in the India market and are willing to accept higher risk in their investments in order to achieve long term capital growth.

Fund manager

Manulife Investment Management (M) Berhad
200801033087 (834424-U)

Trustee

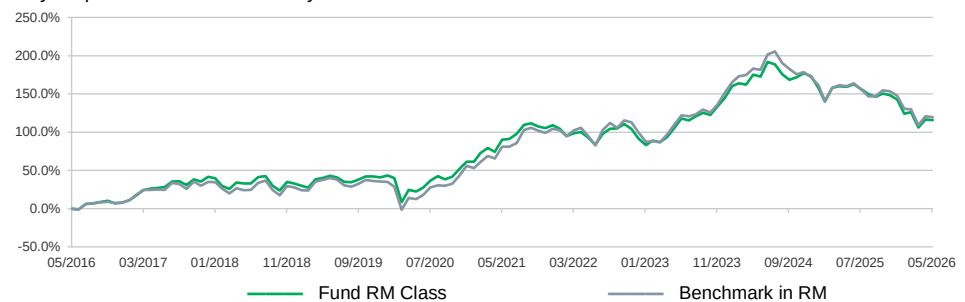
HSBC (Malaysia) Trustee Berhad
193701000084 (1281-T)

Fund information (as at 31 May 2026)

NAV/unit (RM Class)	RM 1.2675
NAV/unit (RM-Hedged Class)	RM 0.6068
Fund size	RM 436.55 mil
Units in circulation	382.21 mil
Fund launch date	07 Jan 2010
Fund inception date	27 Jan 2010
Financial year	31 Oct
Currency	RM
Management fee	Up to 1.80% of NAV p.a.
Trustee fee	0.04% of NAV p.a. Subject to a minimum fee of RM18,000 p.a. excluding foreign custodian fees and charges.
Sales charge	Up to 6.00% of NAV per unit
Redemption charge	Nil
Distribution frequency	Annually, if any
Benchmark [^]	MSCI India 10/40 Index (Net of Tax)
Target fund [#]	Manulife Global Fund - India Equity Fund

Fund performance

10-year performance as at 31 May 2026*



Total return over the following periods ended 31 May 2026*

	1 month	6 month	YTD	1 year	3 year	5 year	10 year
Fund RM Class (%)	-0.24	-13.05	-10.93	-16.68	4.98	13.40	115.91
Benchmark in RM (%)	-0.66	-13.36	-11.41	-15.67	4.63	21.17	119.39
Fund RM-Hedged Class (%)	-0.23	-10.41	-9.71	-12.41	13.35	8.26	-
Benchmark in USD (%)	-0.49	-9.70	-9.34	-9.47	21.80	26.05	-

Calendar year returns*

	2021	2022	2023	2024	2025
Fund RM Class (%)	29.47	-8.39	27.68	11.68	-11.25
Benchmark in RM (%)	31.16	-2.45	26.14	8.23	-8.94
Fund RM-Hedged Class (%)	26.21	-13.87	19.20	11.47	-4.22
Benchmark in USD (%)	26.64	-7.74	20.92	11.22	0.34

* Source: Lipper; Past performance is not necessarily indicative of future performance. The performance is calculated on NAV-to-NAV basis.

Top 5 holdings[#]

No.	Security name	% NAV
1	ICICI Bank Limited	7.5
2	HDFC Bank Limited	4.5
3	Reliance Industries Limited	3.9
4	Axis Bank Limited	3.7
5	State Bank of India	3.5

Highest & lowest NAV

	2023	2024	2025
High	1.5610	1.8577	1.6338
Low	1.1450	1.5328	1.3996

Distribution by financial year

	2023	2024	2025
Distribution (Sen)	-	11.60	-
Distribution Yield (%)	-	6.9	-

Asset/sector allocation[#]

No.	Asset/sector name	% NAV
1	Financials	28.4
2	Industrials	16.4
3	Consumer Discretionary	12.3
4	Materials	8.4
5	Healthcare	6.7
6	Utilities	5.9
7	Information Technology	5.7
8	Energy	3.9
9	Others	8.5
10	Cash & Cash Equivalents	3.8

Geographical allocation[#]

No.	Geographical name	% NAV
1	India	96.2
2	Cash & Cash Equivalents	3.8

[^] Based on net of tax returns of 16.25%, i.e. average of short-term capital gain tax and long-term capital gain tax on Indian listed equity of 20% and 12.5% respectively currently. The tax rate may change from time to time based on prevailing tax rate.

Note: The performance benchmark for the Fund is revised from MSCI India 10/40 Index to MSCI India 10/40 Index (Net of Tax) effective from 1 March 2025. The purpose of the change is to reflect the taxation impact to the performance of benchmark index in view of the taxation applicable on Indian listed equity.

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Market review

India equities softened during the month amid global headwinds and continued foreign outflows despite supportive domestic earnings. Market performance tilted towards selective domestic cyclical, with materials, industrials, and healthcare advancing, supported by resilient infrastructure demand and earnings delivery. In contrast, energy, consumer staples, and utilities declined, reflecting pressure from commodity price volatility and defensive profit-taking, while information technology (IT) also weighed on returns alongside ongoing demand uncertainty. On the policy front, the government introduced targeted measures to cushion the impact of the Middle East conflict, including credit support schemes and energy-related policy adjustments, aimed at preserving liquidity and mitigating external vulnerabilities. On the macro front, economic indicators showed resilience, with steady industrial production growth, improving labor trends, and solid exports, though the manufacturing purchasing managers' index (PMI) softened. Moving into the 4QFY26 earnings season, results were encouraging, with strength across financials and domestic cyclical, while globally exposed sectors such as IT faced demand headwinds. Strength was particularly evident in mid- and small-cap segments, supported by strong domestic demand, while corporate commentary highlighted manageable near-term risks with growth outlooks largely intact.

Market outlook

India's equity market enters June after a more mixed May, following the strong rebound in April. Domestic liquidity and underlying economic activity remain broadly supportive, although the external environment continues to introduce periods of volatility through elevated energy prices, currency pressures, and ongoing geopolitical uncertainty. The medium-term narrative remains anchored by the same structural supports highlighted in recent months: a gradual improvement in the external trade backdrop and a domestic policy environment that continues to support manufacturing and investment.

What evolved over the past month was not the presence of the external shock, but its trajectory. While the Middle East conflict remains unresolved, the extension of ceasefire arrangements and a partial stabilization in energy markets have helped moderate some of the earlier tail risks. Oil prices, while still elevated, have shown signs of easing from peak levels, and the path of disruption has proved more intermittent than initially feared. This does not eliminate uncertainty, but it does improve the near-term visibility relative to the earlier phase of the shock.

Our broad macro assessment, therefore, remains unchanged in direction. We continue to believe that India can absorb crude prices in the USD85-90/bbl range over a full year without materially compromising macro buffers, supported by lower oil intensity and resilient services exports. At the same time, developments over the past month suggest that the process of absorption is evolving. Earlier policy actions helped limit the immediate pass-through to households, cushioning near-term consumption by distributing the impact across lower fuel taxes and compressed refining and marketing margins. As the external macro environment remains uncertain, that approach is gradually giving way to a more balanced adjustment, with part of the impact beginning to flow through to prices and costs.

India's existing buffers continue to provide resilience, particularly over shorter horizons. Strategic reserves, commercial inventories, and policy tools around fuel pricing and supply management continue to help smooth volatility. These buffers are inherently designed to manage transitory disruptions rather than prolonged ones, and their role now is to support a more gradual adjustment as conditions stabilize. The key variable, therefore, remains the duration of elevated energy costs rather than the initial magnitude of the shock.

Domestic macro conditions through May remained broadly constructive. High-frequency indicators continue to reflect steady activity, with manufacturing and services maintaining expansionary momentum and investment activity supporting industrial demand. There are, however, early signs of divergence in composition. While domestic demand remains resilient—particularly in urban and services-led segments—external cost pressures are beginning to feed into input costs. For now, much of this adjustment has been absorbed at the producer level, with only a gradual pass-through to consumers.

Policy has begun to reflect this more complex balance. At its latest meeting, the central bank maintained its policy rate and overall stance while recalibrating its projections to account for the extended external environment. Growth expectations were moderated, and inflation projections were revised higher, reflecting the evolving energy and cost backdrop. At the same time, policy emphasis has expanded to include broader macro stability, including measures aimed at maintaining orderly currency conditions and ensuring that external volatility does not translate into financial instability. The overall message remains measured: domestic fundamentals remain resilient, but the external environment introduces a more uneven path ahead.

At the growth level, the underlying domestic recovery continues to hold. The earlier mid-cycle slowdown is largely behind us, with credit growth, services activity, and investment momentum providing support. The current phase is better described as consolidation rather than acceleration. Monetary conditions remain supportive, and public capital expenditure (capex) continues to anchor activity, but the pace of recovery is likely to be shaped by the interaction between domestic strength and the evolving external environment.

Market behavior in May reflected this balance. While headline indices moderated, underlying dispersion remained elevated, with sectors linked to domestic investment and structural themes continuing to find support, even as more externally exposed segments faced a less favorable backdrop. This reinforces our view that selectivity remains critical, particularly in areas where valuations already discount a smoother recovery path.

Against this backdrop, the portfolio remains positioned around the same structural framework as in recent months—GCMV and our 5D themes—with a continued emphasis on areas where domestic investment, electrification, formalization, and premiumization can support earnings resilience.

- **Financials:** We remain incrementally constructive on financials, with a preference for larger, well-capitalized institutions with strong liability franchises and diversified earnings streams. In an environment where liquidity conditions can vary and external factors can influence funding costs, balance-sheet strength remains the key differentiator.
- **Industrials, capex, and digital-infrastructure enablers:** The public and private capex cycle remains a core pillar of The Portfolio, increasingly reinforced by the global artificial intelligence (AI)-driven data-center investment wave. Defense spending, electronics manufacturing, and the rapid expansion of data-center capacity—both domestically and overseas—are creating durable demand visibility across power equipment, utilities, industrial goods, metals, and domestic manufacturing supply chains. Recent trade developments, including the easing of US-India trade tensions and progress toward the India-EU FTA, further expand export opportunities for Indian manufacturers integrated into these global value chains. While higher energy costs may introduce near-term margin volatility, companies with scale, integration, and execution capability remain well positioned as this convergence of domestic capex, global digital-infrastructure build-out, and export demand extends into FY27 and beyond.
- **Utilities, power, and electrification:** Utilities remain a strategic medium-term allocation. A less certain global energy environment increases the importance of domestic energy solutions, regulated cash flows, and electrification. Structural demand from data centers, grid expansion, and decarbonization continues to strengthen the investment case.
- **Metals and materials:** We remain constructive on select metal names, where leading Indian producers are structurally better positioned than global peers. Backward integration into mining and access to domestic coal provide partial insulation from energy-driven cost pressures, while balance sheet discipline and domestic demand exposure support through-cycle returns. Although global demand conditions warrant ongoing monitoring, relative cost advantages and capital allocation discipline continue to differentiate the sector.

June 2026

Factsheet

Manulife India Equity Fund

• Consumption and domestic cyclical: We are selectively constructive rather than broad-based. Supportive credit, resilient urban demand, and investment spillovers continue to support several segments of the domestic cyclical universe. At the same time, a more sustained period of elevated energy costs can create divergence across income cohorts and consumption categories. Our preference, therefore, remains for businesses with stronger pricing power, premium demand exposure, and the ability to benefit from ongoing formalization.

Overall, our medium-term stance remains constructive, with the key shift being a transition from a phase of shock absorption to gradual adjustment. We continue to focus on four signposts: 1) the trajectory of oil prices relative to our tolerance band, 2) the durability of recent stabilization in energy logistics, 3) the pace and extent of domestic price pass-through, and 4) the resilience of domestic liquidity in offsetting external volatility. A stable evolution across these variables would support a broader recovery, while continued external uncertainty is likely to keep the market focused on balance-sheet strength, domestic investment exposure, and sectors with pricing power.

Feeder fund review

In May, the Feeder Fund posted a) -0.24% versus the benchmark return of -0.66% for its RM class; and b) -0.23% versus the benchmark return of -0.49% for its RM-Hedged class. Unfavourable stock selection in Consumer Discretionary detracted from relative performance while favourable stock selection in Consumer Staples, Information Technology and Healthcare contributed positively. The Feeder Fund will continue to be fully invested into the Target Fund. We rebalance the Feeder Fund when the invested level is affected by market volatilities, inflows and outflows of the Feeder Fund. We aim to maintain a target allocation of around 95%-98%.

Based on the Fund's portfolio returns as at 30 Apr 2026 the Volatility Factor (VF) for the Fund is as indicated in the table above and are classified as in the table (source: Lipper). "Very High" includes Funds with VF that are above 15.965, "High" includes Funds with VF that are above 11.775 but not more than 15.965, "Moderate" includes Funds with VF that are above 8.585 but not more than 11.775, "Low" includes Funds with VF that are above 4.635 but not more than 8.585 and "Very Low" includes Funds with VF that are above 0.000 but not more than 4.635 (source:FiMM). The VF means there is a possibility for the Funds in generating an upside return or downside return around this VF. The Volatility Class (VC) is assigned by Lipper based on quintile ranks of VF for qualified Funds. VF and VC are subject to monthly revision or at any interval which may be prescribed by FIMM from time to time. The Fund's portfolio may have changed since this date and there is no guarantee that the Funds will continue to have the same VF or VC in the future. Presently, only Funds launched in the market for at least 36 months will display the VF and its VC.

The above information has not been reviewed by the SC and is subject to the relevant warning, disclaimer, qualification or terms and conditions stated herein. Investors are advised to read and understand the contents of the Master Prospectus dated 15 May 2023 and its First Supplemental Master Prospectus dated 20 October 2023 and its Second Supplemental Master Prospectus dated 12 February 2025 and its Third Supplemental Master Prospectus dated 3 June 2025 and its Fourth Supplemental Master Prospectus dated 30 June 2025 and all the respective Product Highlights Sheet(s) (collectively, the "Offering Documents"), obtainable at our offices or website, before investing. The Offering Documents have been registered with the Securities Commission Malaysia (SC), however the registration with the SC does not amount to nor indicate that the SC has recommended or endorsed the product. Where a unit split/distribution is declared, investors are advised that following the issue of additional units/distribution, the NAV per unit will be reduced from the pre-unit split NAV/cum-distribution NAV to post-unit split NAV/ex-distribution NAV; and where a unit split is declared, the value of your investment in the Fund's denominated currency will remain unchanged after the distribution of the additional units. Past performances are not an indication of future performances. There are risks involved with investing in unit trust funds; wholesale funds and/or Private Retirement Schemes. Some of these risks associated with investments in unit trust funds; wholesale funds and/or Private Retirement Schemes are interest rate fluctuation risk, foreign exchange or currency risk, country risk, political risk, credit risk, non-compliance risk, counterparty risk, target fund manager risk, liquidity risk and interest rate risk. For further details on the risk profile of all the funds, please refer to the Risk Factors section in the Offering Documents. The price of units and income distribution may go down as well as up. Investors should compare and consider the fees, charges and costs involved. Investors are advised to conduct own risk assessment and consult the professional advisers if in doubt on the action to be taken.